Q.24 Explain the objectives of inventory management,

Q.25 Explain Net Present Value method.

Q.26 Explain any two activity ratio in detail.

Q.27 Explain the various sources of long term finance.

Q.28 What are the objectives of calculating IRR?

Q.29 Explain ABC Technique of Inventory management.

Q.30 Explain EOQ by giving an example.

Q.31 What are the responsibilities of a finance manager.

Q.32 Why accounting ratios are useful in financial management.

Q.33 Write a short note on Accounting Standard-3.

Q.34 What is cost of capital and its importance in taking investment decision?

Q.35 What are the qualities and qualification of Financial Manager.

SECTION-D

Note: Long answer type questions. Attempt any two questions out of three questions. (2x10=20)

Q.36 What do you mean by capital budgeting decision? Discuss its importance and difficulties faced by concern while taking capital budgeting decision.

Q.37 Explain the following terms:

a) Shares b) Debentures

c) Bonds d) Retained Earnings

Q.38 Explain the methods of Accounting ratios in details.

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5th Semester/ Fin., Acc & Aud.
Subject :Financial Management

Time : 3 Hrs. M.M. : 100

SECTION-A

Note: Multiple choice questions. All questions are compulsory (10x1=10)

Q.1 Financial procedures are determines by

a) Financial Planning

b) Financial Leverage

c) Financial Decision

d) Capital Structure

Q.2 Which of the following best explains why money has a time value?

a) Money increases in quantity over time

b) Money can earn interest or returns when invested

c) Money loses value due to taxes

d) Future money is more secure than current money

Q.3 Which of the following best defines ratio analysis?

a) Comparing financial data to understand performance

b) Preparing the balance sheet

c) Filing income tax returns

d) Auditing financial records

Q.4 Which of the following is NOT a characteristic of capital budgeting?
a) Involves large investment
b) Involves short-term decisions
c) Long-term impact on profitability
d) Based on future cash flows

Q.5 Bonds and debentures are examples of:
a) Equity Capital b) Fixed Capital
c) Debt Capital d) Working Capital

Q.6 The return on debentures is known as:
a) Dividend b) Bonus
c) Interest d) Royalty

Q.7 Which of the following is not an inventory?
a) Machines b) Raw material
c) Finished products d) Consumable tools

Q.8 In Financial Management NPV is ______
a) Net Present Value
b) Next Present Value
c) Nominal Present Value
d) None

Q.9 The Span of time within which the investment made for the project will be recovered by the net returns of the project is known as:
a) Period of return b) Pay Back Period
c) Span of return d) None of the above

Q.10 Financial management calculates _________.
a) Profit b) Loss
c) Interest d) All of these

SECTION-B

Note: Objective/ Completion type questions. All questions are compulsory. (10x1=10)

Q.11 Financial management primarily deals with the acquisition and effective use of funds. (True / False)

Q.12 The value of money decrease over time due to inflation. (True / False)

Q.13 Capital budgeting refers to the process of making investment decisions in long-term assets. (True / False)

Q.14 ABC analysis is a technique of controlling the items of inventory. (True / False)

Q.15 Rate of return on capital is exceptionally high in fixed capital. (True / False)

Q.16 To financial analysis, “Working Capital” means the same things as ______.

Q.17 The ideal level of current ratio is 2:1. (True / False)

Q.18 Inventory refers to all materials including raw materials, work in progress and finished goods. (True / False)

Q.19 Payback method takes into account cash flows occurring after the payback period. (True / False)

Q.20 Debt ratio an be used to check the liquidity position of the company. (True / False)

SECTION-C

Note: Short answer type questions. Attempt any twelve questions out of fifteen questions. (12x5=60)

Q.21 Explain the objectives of financial management.

Q,22 What are the main objectives of calculating time value of money?

Q.23 What is a current ratio? What does it indicate?